Applicants for 60,000 shares - Full
Applicants for 75,000 shares - 40,000 shares (excess money will be utilised for allotment)
Applicants for 5,000 shares - Nil
All the money due was received. Pass journal entries upto the receipt of allotment.

Solution

In the books of Sudha Ltd.

Journal entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Bank A/c (1,40,000 × 3)	Dr.		4,20,000	
	To Equity share application A/c				4,20,000
	(Application money received)				
	Equity share application A/c (1,00,000 × 3)	Dr.		3,00,000	
	To Equity share capital A/c				3,00,000
	(Transfer of share application money to share capital)				
	Equity share application A/c (5,000 × 3)	Dr.		15,000	
	To Bank A/c				15,000
	(Excess application money refunded)				
	Equity share application A/c (35,000 × 3)	Dr.		1,05,000	
	To Equity share allotment A/c				1,05,000
	(Excess share application money utilised for allotment)				
	Equity share allotment A/c (1,00,000 × 4)	Dr.		4,00,000	
	To Equity share capital A/c				4,00,000
	(Share allotment money due)				
	Bank A/c	Dr.		2,95,000	
	To Equity share allotment A/c				2,95,000
	(Allotment money received)				

Working note:

Shares applied for	Shares Allotted	Application money received	Application money	Appropriation towards Allotment money	Refunded
60,000	60,000	1,80,000	1,80,000	-	-
75,000	40,000	2,25,000	1,20,000	1,05,000	
5,000	-	15,000	-	-	15,000

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